

Mark schemes

1.

Define the concept of macroeconomic policy objectives in terms of reference to the criteria by which macroeconomic performance is measured

Explain macroeconomic policy objectives, e.g.

- economic growth can be defined as increases in the productive capacity of an economy. Such increases will determine the long-run trend rate of growth and will shift the LRAS curve and the PPC to the right. Actual growth can be measured by GDP
- price stability
- full employment or low unemployment
- improving the performance of the balance of payments on current account
- exchange rate stability
- fiscal stability

Explain the importance of macroeconomic policy objectives to an economy, eg

- price stability and international competitiveness
- economic growth and living standards
- the balance of payments on current account
- the importance of reducing unemployment
- an essential requirement for efficient policy making
- they establish benchmarks against which the authorities, NGOs, economists, business can measure success / failure within the economy
- they allow policies to be formulated in good time if objectives seem increasingly unlikely to be met
- because of the inherent weaknesses there may be in an economy, it is vital to have objectives which give a sense of direction and which provide the prospect of being able to remedy those weaknesses
- if achieved, they create a stable economic climate for the private sector

[15]

**2.**

- define imports;
- relate import performance to export performance, perhaps with an invisible/visible reference;
- explain imports in the context of the balance of payments on current account, perhaps referring to imports explicitly as a debit item;
- put imports into the context of the circular flow of income

explain determinants of a country's demand for imports, eg

- income which allows consumers to demand more goods and services, assuming disposable income also increases with gross income. Some will be purchased from overseas sources, given that UK consumers traditionally display a high propensity to import. This may be for reasons such as consumer preference, as characteristics such as quality and after-sales service are seen to be stronger in imports or because the goods or services in question are no longer produced/supplied in the domestic economy.
- relative prices (terms of trade)
- protectionist policies
- cheaper credit helping to finance purchases
- deindustrialisation
- raw material, component and energy requirements
- the impact of the Single European Market
- exchange rate trends
- cyclical factors, e.g. recession
- a change in comparative advantage

Reward references to the UK economy

[15]

**3.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• common macroeconomic policies • economic recovery • the significance of the rest of the EU to the UK • the criteria by which the impact on the UK economy might be assessed.
Developing a response to the question:	• the implications for economic growth • the impact on employment / unemployment • the consequences for the balance of payments on current account • the effects on the £ / € exchange rate • the greater likelihood of avoiding a period of deflation • the dangers of inflationary pressures building up • the further development of the SEM in a period of recovery and increasing prosperity.
Evaluation:	• the possible significance of a slow recovery • the possible supply problems if recovery is too rapid • whether the UK can take advantage of EU recovery • whether the advantage lies more with the rest of the EU in terms of exporting to the UK than for the UK exporting to the rest of the EU • the significance of EU recovery for the UK relative to recovery taking place elsewhere in the world, i.e. in markets which have significance for the UK • whether or not recovery has implications for the movement of labour in and out of the UK and how this affects the UK labour market.
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams

[25]

**4.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• reference to the quote in the question • the recent experience of rising oil prices • criteria for assessing macroeconomic performance
Developing a response to the question:	• the implications of this for the pattern of production • consequences for the balance of payments on current account • inflation • the impact of inflation on jobs • the impact of inflation on economic growth • rising oil prices and business and consumer confidence • implications for government revenue and expenditure • the impact on export performance
Evaluation:	• whether the oil price increases are simply building on past price increases or whether they represent a supply-side shock of which there has been little or no recent experience • whether or not petrol taxes are reduced to compensate for higher oil prices • mature economies having less dependency on oil • whether price increases are sustained over a long period of time • whether, as in the UK's case, an economy is also an oil exporter as well as an importer • whether rising economic growth and inflation-reducing forces are in evidence to dull the impact of rising oil prices
Also give credit for:	• relevant use of evidence and examples from the UK / other economies • diagrams

[25]

Issues and areas for discussion include

Introduction	• government borrowing put into its fiscal context • the basic functions of government borrowing, e.g. to finance spending in a way that negates the need to raise taxes or to help supplement the revenue from tax as tax rates are raised • the recent UK experience and/or that of other countries • the significance of the Budget and Pre-Budget reports in the UK
Developing the response to the question:	• an outline of the criteria for assessing concern • the potential impact on inflation/deflation • economic growth • employment • cyclical reasons for borrowing, perhaps argued as essential in the circumstances • business and consumer confidence • the exchange rate • interest rates • the impact on the private sector, e.g. complacency • 'crowding-out' • the potential difficulty of financing a large borrowing requirement • the possible impact on the money supply • the potential impact on future tax-payers • any other valid issue
Evaluation	• the level of concern/acceptability of borrowing may depend on the economic circumstances at the time • concern may depend on the actual level of borrowing • assessment may be coloured by the decisions made by other countries • borrowing needs to be related to the National Debt to help any assessment • the uses to which the borrowed money is put • whether borrowing creates a necessity to raise taxes in the future or to cut spending • whether it breaks any fiscal rules and, in turn, whether this is seen as important (up to mid-2008 the UK Code for Fiscal Stability and the on-going EU Stability and Growth Pact) <i>Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of increased spending which has led to the need to</i>

	<i>borrow more. However, this must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	• relevant use of evidence and examples from other economies • diagrams • an overall judgement on the issues raised

[25]

6.

- inflation, with an explanation perhaps in terms of official UK measurement, how measurement is arrived at, recent experiences, other relevant factors

Explain causes of inflation, eg

included within **cost-push factors** could be:

- the rising cost of oil, which for many firms will be a significant cost of production. As oil costs rise, assuming no fall in other costs of the firm a decision has to be made that either profit margins be narrowed or prices of final output need to rise. One consideration will be the price elasticity of demand for the product in question, i.e. the more inelastic is demand, the more likely consumers will absorb any price increase
- wage costs
- supply-side weaknesses, eg low productivity
- imported inflation, perhaps via exchange rate depreciation

Included within **demand-pull factors** could be

- the demand-pull inflationary process
- the impact of monetary policy
- the impact of fiscal policy
- earnings growth

other factors could also be considered, eg

- expectations
- money supply / monetarist explanation

[15]

Issues and areas for discussion include

Introduction	• protectionism v free trade • the UK balance of payments on current account • the work of GATT/WTO • the Doha Round of talks • types of protectionism
Developing the response to the question:	• an overview of UK exports/imports; manufactures v services • competitiveness of exports, e.g. productivity trends, innovation, design, other non-price factors which might compensate for increased protectionism or mean that we are at a greater disadvantage if these factors remain weak • the potential significance of the exchange rate • supply and demand elasticity conditions as far as exports and imports are concerned • the danger of further deindustrialisation and the consequent impact on the balance of payments on current account • the potential significance of the EU trade bloc and whether even more of our trade is with the EU as protectionism elsewhere increases • account in the context of impediments to trade of various kinds • any other valid issue
Evaluation	• the impact on the balance of payments may depend on the extent of the increased protectionist policies • the impact may depend on the level of protectionism which existed before the further increase in trade barriers • the degree of impact may depend on the flexibility of the supply-side of the UK economy to take appropriate action given the specific nature of increased protectionism • the economic conditions in which the strengthening takes place around the world will be significant • given that the UK may be part of the process of strengthening, it will have to consider the impact on import flows compared to the impact on export performance • of some importance will be the particular elasticity conditions for exports and imports • the different parts of the current account might be affected in different ways <i>Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of protectionism. However, this must be considered as</i>

	<i>low-level evaluation and awarded accordingly.</i>
Also give credit for:	• relevant use of evidence and examples from other economies • diagrams • an overall judgement on the issues raised

[25]

8.

Define/explain:

- deflation
- monetary policy, e.g. interest rates, money supply control, exchange rates
- in the current (2010) climate, refer to the liquidity trap in explaining the possible limitations of interest rate policy
- explain how monetary policy might be used to prevent a period of deflation, eg
 - interest rates will help determine the use of credit by consumers and the level of business borrowing for investment. The Monetary Policy Committee sets Bank Rate and by doing so is indicating its wish that other financial institutions follow suit. Both consumption and investment are components of aggregate demand. Assuming no reduction in the other components of AD ($X - M$, G) a fall in interest rates, for example, will lead to higher AD which may lead to a rise in the general price level assuming that AS does not increase to meet the higher AD
 - the use of exchange rate policy to influence export and import demand and generate an export-led multiplier
 - increases in money supply (note the current policy of 'quantitative easing') with an explanation, perhaps including a reference to the Quantity Theory of Money

Reward references to the UK economy

[15]

Issues and areas for discussion include

Introduction	• deflation v inflation • criteria for assessing the economic impact of deflation • the relevance of the issue to the last few years
Developing the response to the question:	• the shorter term benefits in terms of consumer demand for goods and services falling in price • competitiveness • impact on profits and hence possibly on investment and on sustainability of businesses • the impact on confidence, especially where deflation is a feature of a recession • economic growth • employment • trade flows and the impact on the balance of payments on current account • inward investment • UK experience • the potential impact on consumer demand • the impact on the real value of debt, important particularly in light of high UK home ownership • the impact on the exchange rate • any other valid issue
Evaluation	• whether or not deflation has set in worldwide or just nationally • the extent of the deflation • the duration of the deflation • the flexibility/resources the government/central bank has to deal with the problem • the extent of damage to consumer and business confidence • how much it impacts on profits • whether deflation causes consumers to keep delaying purchases hoping for even lower prices <i>Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of deflation. However, this must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	• relevant use of evidence and examples from other economies • diagrams

- an overall judgement on the issues raised

[25]

10.

Issues and areas for discussion include

Introduction	• explanation of globalisation • how benefit can be measured • macroeconomic performance criteria
Developing the response to the question:	• economic growth • employment/unemployment • inflation/price stability/deflation • trade flows • investment flows • balance of payments • competitiveness • any other valid issue
Evaluation	• not knowing what might have happened to the UK economy had globalisation not become so evident • the assessment may depend on the view taken of how significant or essential globalisation has been in bringing about various domestic supply-side reforms • whether cyclical factors have sometimes prevented the UK from obtaining the full benefit of globalisation <i>Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of globalisation. However, this must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised

[25]

11.

For candidates who:

Define / explain inflation and / or index numbers in a general sense and / or refer to UK inflation

Explain how inflation is measured in the UK with reference to, eg:

- the concept of a 'basket' of goods and services to include all types of household spending, including food, restaurant meals, tobacco but with some exclusions from the RPI, for example, interest charges on credit cards. The prices of a large and varied sample of products in the basket are gauged. A wide range of retail venues is chosen in about 150 places around the UK. The goods and services for which prices are recorded are known as 'representative items' of which there are 650. Their movement is taken to represent the price changes for all goods and services covered by the index.
- an inflation index as a measure of average prices and of price changes not price levels. So, for example, for RPI with Jan 1987 = 100, the index was 209.8 in January 2008 compared to 201.6 a year earlier. An annual inflation rate of 4.1% can be calculated from these data
- Family Expenditure Survey
- the concept of the 'average family'
- the system of weighting
- comparison between indices, eg the RPI, CPI, RPIX, TPI (only the first two are cited in the specification)
- any other valid feature of measurement using indices.

Make use of diagrams **in the analysis**.

[15]

It is hoped that candidates will briefly explain the macroeconomic criteria by which consequences can be measured, before providing some discussion of the potential impact of appreciation and arriving at a final judgement.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• appreciation versus depreciation of currency • criteria for measuring macroeconomic consequences • exchange rate systems.
Developing the response to the question:	• the potential impact on economic growth as exports perhaps become more difficult to sell overseas • the possible stimulus to growth as imports of raw materials and energy become cheaper • the possible benefits to inflation as lower demand for exports reduces pressure on domestic production and resources and imports of goods and services are cheaper • the impact on employment as cheap imports threaten domestic production and hence jobs and as the overseas demand for exports falls away • the impact on a significant tourist industry in the economy concerned and hence on growth and jobs in an expanding sector of an increasingly service economy • the impact on the balance of payments on current account given relative changes in exports and imports of goods and services • the strong currency making inward investment less attractive, perhaps affecting growth and jobs.
Evaluation	• the extent of the rise in the exchange rate • the external value of the currency from which the rise begins to take place • the significance of the exchange rate factor compared to other influences on the macro-economy • whether or not exports have been an important, or sole, cause of growth for an economy • elasticity conditions for exports and imports • the period of time in which the appreciation lasts • the role of speculators in terminating the rise • the effectiveness / speed of a corrective market mechanism or a decision to 'dirty float'

	the state of the world economy as the appreciation takes place, eg might a prosperous world merely absorb higher prices arising from a country's exchange rate appreciation? <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of appreciation, but with minimal reference to the macro-economy. However, this must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	- reference to the UK / other economies - diagrams - an overall judgement on the issues raised

[25]

It is anticipated that candidates will review the various consequences of both inflation and deflation, a review interspersed with evaluative comments, before arriving at a final judgement. Examiners should reward well informed, relevant discussion and conclusion.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	- the concept of price stability / price instability - definitions of inflation and deflation - the UK experience of recent years - the UK Government's setting of an inflation target - price stability as a desired objective and its relationship with other macroeconomic objectives.
Developing the response to the question:	- inflation damaging competitiveness with a potential impact on the balance of payments on current account - anti-inflation policies which are potentially harmful to the economy - the impact on business and household confidence - the impact on real income and hence real spending power - the ultimate damage to economic growth and jobs - deflation as being far less common than inflation in many economies - the impact on real incomes and real purchasing power - the dangers of consumer postponement of purchases hoping that prices will fall further - the impact on profits - the impact of lower profits and lower business confidence on investment - the potential benefits of reflationary policies - the benefits of falling prices to competitiveness - the possible harm done to growth and jobs - the impact on creditors / debtors - whether one is more / less anticipated than the other
Evaluation	- the extent of the problem, i.e. how significant the rate of inflation or deflation is - the length of time in which prices rise or fall - the potential benefits of mild inflation which might not be said of mild deflation

	• the relative ease / difficulty of executing, and making effective, policies to deal with either of the problems • the simultaneous experience of other countries • whichever problem prevails, the danger of the authorities overshooting targets, eg. quantitative easing and low interest rates bringing too much reflation and hence more inflation • the difficulty of making a judgement without more detailed information on an actual occurrence and the events surrounding it • both inflation and deflation have redistributive effects and it is impossible to predict which might be the more beneficial • a realistic conclusion is that, whatever the relative impact, neither may be desirable and the authorities should be aiming for a period of sustained price stability <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of inflation and / or deflation, but with no attempt to place them into the context of the question or to prioritise them explicitly. This must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	• reference to the experiences of other economies • diagrams • an overall judgement on the issues raised

[25]

14.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• macroeconomic objectives in contrast to microeconomic • the meaning of conflicts between macroeconomic policy objectives • how objectives might be ranked in order of importance by any one government
Developing a response to the question:	• examples of potential conflict, eg ◦ economic growth and price stability ◦ full employment and price stability ◦ demand-led growth and the balance of payments on current account ◦ attempted corrections to the balance of payments deficit on current account and economic growth and / or employment • the differing impact of expenditure-switching and expenditure-dampening policies • supply-side policies
Evaluation:	• some ways of trying to reconcile conflict may not be politically expedient, eg increasing unemployment in order to control inflation • government may attempt to reconcile conflict through fine-tuning which does not have a good track record • conflict can be short term, supply-side remedies long term • limiting growth in order to stabilise prices might harm material living standards • supply-side improvements may be made, eg productivity, but may not bring a reduction of conflict if other countries have seen improvements to a greater extent, eg economic growth increases the flow of imports. An export drive to balance this may be unsuccessful if our productivity improvement is outpaced by that in other countries. • the rate of inflation may be controlled but inflation may still be higher than in the economies of our trading partners, perhaps limiting the desired improvement to the current account (inflation having caused a deterioration) • the policy constraints for members of the eurozone which won't apply to those members of the EU, including the UK, who have not adopted the euro
Also give credit for:	• relevant use of evidence and examples from the UK / other economies



- diagrams



It is hoped that candidates will be able to display a good knowledge of recent supply-side reforms (both government policy and private sector initiatives) and then be able to arrive at an informed judgement by relating the impact of them to demand-side initiatives.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• the economic cycle with particular reference to recession • the nature of supply-side reforms • brief reference to alternative policies for helping recovery • macroeconomic objectives.
Developing the response to the question:	• more detailed references to supply-side reforms such as welfare-to-work, mobility policies, training and education • the way in which supply-side reforms may help reduce conflict between macroeconomic objectives such as growth and inflation • supply-side reforms helping to achieve sustained growth • supply-side reforms and the UK experience • policies designed to influence aggregate demand (AD) • a balanced approach to managing the economy, for example, managing AD with the short / medium term in mind while developing supply-side reforms designed to have a long-term impact.
Evaluation	• consequences may all depend on the nature and scale of the reforms • is 'avoidance' wishful thinking when alleviation is probably a more realistic aspiration, especially when placed in an international context? • supply-side reforms can give an underlying strength to an economy which might help avoid recessions • the net effect may be small if Africa compensates for the decline of other UK markets (temporary or permanent) • global recession which impacts on any one economy may require an immediate (perhaps Keynesian) response on the demand side and continuing demand management policies • the limited immediate relevance of supply-side reforms whatever the economic shock suffered • the inability of markets to deal at all with serious shocks to the macro-economy even where there have been supply-side reforms • such a response may also be seen as most appropriate even if a downturn is peculiar to one economy

	- the benefits of supply-side reforms becoming apparent in a global recession when other economies begin to recover - a strong impetus for supply-side reforms may only appear because of a recession rather than as a consequence of recession (and so the changes in the economic cycle come first) - the prospect that supply-side reforms can help sustain periods of high economic growth and prevent any downturn, e.g. they help avoid or control inflation as an economy grows. - it should not always be assumed that recessions have no benefits, eg providing an impetus to efficiency drives and structural reform, and supply-side reforms may ease this process - the value of comparing interventionist versus free-market supply-side measures. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of supply-side reforms, but with no attempt to place them into the context of the question or to prioritise them explicitly. This must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	- reference to the experiences of other economies - diagrams - an overall judgement on the issues raised

[25]

16.

Define / explain economic growth and / or recession, perhaps with reference to GDP, criteria for identifying parts of the economic cycle, the UK experience of recent years

Explain possible reasons, eg

- an economic shock such as higher oil prices. Higher oil prices may then impact on inflation since oil can be a significant cost of production and can adversely affect households' cost-of-living. Anti-inflation policy may need to be used such as higher interest rates but such a response, especially if too severe, might slow the economy too much. This and the declining confidence of households and businesses may bring about a downturn and eventual recession
- other external economic shocks, such as the global banking crisis or recession amongst our major trading partners for whatever reason
- deterioration in domestic leading sectors such as construction and the car industry
- high levels of demand domestically causing demand-pull inflation and remedial action by the authorities follows which inadvertently plunges the economy into recession
- government failure to take remedial action quickly enough or the wrong type of action or inadequate action as the macroeconomy deteriorates for whatever reason
- a slump in private sector investment with no compensatory activity in the public sector
- any other valid point.

Make use of diagrams in the analysis.

[15]

17.

It is hoped that candidates will place the answer firmly into the context of the EU and not simply base the answer on the impact of the UK borrowing requirement, so that any final judgement is sufficiently comprehensive and relevant.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• government borrowing • budget deficit • PSNCR as one technical measure • the EU fiscal position as a whole • the Stability and Growth Pact • proposals for some regulation of fiscal policy independent of government • criteria for measuring the impact.
Developing the response to the question: Application	• line 3 reference to Keynesian economics and tolerance of deficits because of the benefits they can bring • lines 21-22 reference to the multiplier process and aggregate demand • lines 28-29 the potential impact of borrowing on interest rates and (line 40) on inflation • lines 36-39 EU fiscal stimulus counterbalancing any loss of business and consumer confidence
Developing the response to the question: Analysis	• the reasons behind the increased borrowing • the benefits of government spending • the benefits of tax cuts • the potential impact of increased borrowing on interest rates within the EU and whether greater differences emerge between interest rates in the euro area members of the EU and non-euro members of the EU • the dangers of 'crowding-out' of private sector activity amongst member countries • the uncertainty that increasing borrowing can create for households and businesses • the potential impact on the nation's international credit rating and hence on its ability to borrow in the future on favourable terms • the possibility of seeking help from, for example, the IMF and the impact of this • the economic pain associated with eventual remedial measures

	such as spending cuts and tax increases • the impact on the UK if EU fiscal expansion generally provides a stimulus to the UK economy • the impact on the value of the euro and the implications of this for the external value of the pound • any problems which emerge may become EU-wide problems making recovery even harder to achieve • measuring the impact in terms of growth, jobs and prices.
Evaluation	• the relevance of the scale of borrowing • assessment in terms of the net impact, eg do the benefits clearly outweigh any problems? • the economic context in which the borrowing is taking place, eg recession or recovery • whether the fiscal policy is accompanied by monetary expansion and the possible impact of this combination of expansionary policy • the perceived costs associated with fiscal balance or surplus • the speed with which borrowing can be reduced • the confidence that households and businesses have in government efforts to stabilise the fiscal position • whether the EU is at one with fiscal policy around the world or very much out on a limb. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of borrowing, or of higher public spending and / or higher taxation, but with no attempt to place it into the context of the UK and the EU. However, this must be considered as low-level evaluation and awarded accordingly. If these pros and cons are put into the context of the UK and EU, perhaps with an explicit attempt to prioritise, greater credit can be given.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised

[25]

18.

For candidates who:

Define/explain

- exports/imports
- balance of trade in goods and services
- define / explain the term global investment, eg expenditure to generate future income; spending on capital equipment to increase output, perhaps to displace labour; human capital
- the balance of trade in goods and services in the context of the current account or the balance of payments as a whole
- the possible nature of a country's exports and imports given its own stage of development
- the UK may adopt a strategy of export-led growth. This may be because it is perceived as the most rapid way of achieving economic growth and/or because it feels itself to be very competitive in world markets. It may recognise that a good export performance will initiate a multiplier effect which should benefit the economy beyond the export sector and that exports may well encourage supply-side improvements such as innovation and higher productivity to sustain good external performance
- favourable terms of trade (examiners note that this term is not included in the specification but candidates may well discuss relative export/import prices even if the term is not used)
- the need for imports of raw materials, energy and/or finished goods, e.g. because the UK has lost so much of its industrial base
- a sustained favourable exchange rate motivates an export drive
- absolute/comparative advantage, e.g. UK comparative advantage in financial services
- the impact on UK exports of overseas recession, especially the US and the EU as far as the UK is concerned
- exchange rate movements
- relative inflation rates
- relative rates of productivity (traditionally unfavourable for the UK) and impact on competitiveness
- the ability of the UK to impose protectionist policies

[15]

20.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and/or other issues in the time available.

Issues and areas for discussion include:

Introduction:	- the balance of trade in goods and services - the balance of payments accounts - surplus/deficit.
Developing a response to the question:	- supply-side policies - exchange rate manipulation - protectionist policies - controlling aggregate demand in order to constrain import growth and release more output to the export sector - adoption of an export-led growth strategy - control of inflation if this is perceived to be the cause of the problem - expenditure-switching policies compared to expenditure-dampening policies.
Evaluation:	- the need to distinguish between those policies which offer a possible short-term improvement and those which offer a potential cure for the problem in the long term (e.g. a reference to expenditure-dampening v expenditure switching). - the need to distinguish policies which can be regarded as realistic in the current climate, e.g. supply-side policies, from those which might be politically unacceptable, e.g. protectionism - some policies may not bring immediate improvement, eg the long-term nature of supply-side policies; exchange rate manipulation and the J-curve effect - there may be less significance attached to the deficit if it is seen as part-and-parcel of a maturing economy which, although successful in the trade in services, has lost much of its industrial base, thus needing to import more finished goods - the underlying issue of whether or not a deficit really matters if it does not impede economic growth and job creation and does not damage investor and business confidence.
Also give credit for:	relevant use of evidence and examples from the UK / other economies

[25]